

SENATE No. 2203

The Commonwealth of Massachusetts

PRESENTED BY:

Pavel M. Payano

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act enhancing the effectiveness of nonprofits' core mission work through full cost funding.

PETITION OF:

NAME:

Pavel M. Payano

DISTRICT/ADDRESS:

First Essex

SENATE No. 2203

By Mr. Payano, a petition (accompanied by bill, Senate, No. 2203) of Pavel M. Payano for legislation to enhance the effectiveness of nonprofits' core mission work through full cost funding. State Administration and Regulatory Oversight.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act enhancing the effectiveness of nonprofits' core mission work through full cost funding.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Notwithstanding any special or general laws to the contrary, Chapter 29 of the General
2 Laws is hereby amended by inserting after section 6B the following section:-

3 Section 6BB. (a) For the purposes of this section, the following words shall have the
4 following definitions, unless the context clearly requires otherwise:

5 “Indirect costs” means any costs that would be considered to be indirect costs under 2
6 C.F.R. 200.414 OMB uniform guidance.

7 “NICRA” means a Negotiated Indirect Cost Rate Agreement that reflects an indirect cost
8 rate negotiated between the federal government and a grant or contract awardee, which is used to
9 calculate an awardee’s compensation by federal agencies for indirect costs.

10 “Nonprofit organization” means an organization that is tax exempt under § 501(c)(3), (4),
11 or (6) of the internal revenue code.

“OMB uniform guidance” means the uniform administrative requirements, cost principles, and audit requirements for federal awards adopted by the office of management and budget in 2 C.F.R. 200 and any related guidance published by the office of management and budget.

(b) If a nonprofit organization is a direct recipient or subrecipient of a grant or contract for the provision of services that is funded either wholly with state funds or with a combination of state and other non-federal funds, the terms of the grant or contract shall allow for reimbursement of indirect costs:

(1) at the same rate the nonprofit organization has negotiated and received for a NICRA under a direct federal award, providing the current rate is unexpired; and

(2) if the nonprofit organization has not negotiated and received an indirect cost rate described in item (a) of this subsection:

(i) at a rate of at least 15% of the costs that would be considered modified total direct costs under OMB uniform guidance,

(ii) by negotiating a new percentage indirect cost rate with the Executive Office of Administration and Finance per guidelines established by the Secretary of the Executive Office of Administration and Finance.

(c) This section applies whether or not the funds awarded through the grant or contract are transferred directly by the state or through a third party to the nonprofit organization.